Topic 6
Borrowing products

Learning outcomes

After studying this topic, students will be able to:

- outline the key features of the financial services products for borrowing;
- identify the key features of the costs of borrowing; and
- begin to evaluate lifelong financial planning by understanding that people's borrowing needs change as they pass through the various life stages.

Introduction

People borrow money so that they can buy goods or services now that they cannot afford out of their current income. In effect providers 'sell' money to borrowers, and borrowers pay back the money from the income that they will earn in the future. Repayments cover the original amount borrowed and the cost of borrowing – that is, the interest the provider charges and any additional fees. For example, Stella has borrowed £7,000 from her bank over four years. She needs to repay the original £7,000 plus £1,291 of interest and charges, giving her a total repayment of £8,291. She pays this in 48 monthly repayments of £173.

This topic focuses on borrowing for the immediate and short term. It covers overdrafts, credit cards and personal loans provided by banks, building societies and credit unions.

In Unit 2, we will be looking at secured borrowing. This is where the provider lends money to buy a specific item, such as a house, and this item or another asset is used as security. This means that if the borrower is unable to repay the debt on time, the provider can sell the security (eg the house) and use the sales proceeds to repay the debt. Borrowing products that are secured include mortgages (secured against property) and hire purchase agreements (often used to buy cars or electrical goods).

The borrowing products covered in this topic are unsecured. This means that the provider does not have rights over any of the borrower's goods if the borrower cannot repay the debt. However, providers can go to court to reclaim outstanding debt. This is discussed in **Topic 11**.

People may decide to borrow money for a short time at any stage in the life cycle. Some of this borrowing is informal, such as between family members or friends. Some of the borrowing is formal, that is part of an agreement with a bank, building society or credit union.

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Different borrowing needs



Pete Martin (aged 16 and therefore in the teenage life stage) borrows from his mother Pat by getting an advance on his allowance. Pat either transfers the money into Pete's current account using online banking or gives him cash. Pete usually repays Pat from his income in the following month by giving Pat cash. Last Christmas, however, Pete borrowed £45 from Pat to buy Christmas presents. As this is a large sum of money for Pete to repay from his monthly allowance of £60, Pat allowed Pete to repay £15 a month in January, February and March. She does not charge him any interest.



Jenna (aged 21 and therefore in the young adult life stage) borrowed money from her building society to buy a moped to travel to work. She took out a loan for £2,000 and is repaying it at £66.00 per month over three years.



Raj (aged 30 and therefore in the mature adult stage of life) borrowed £386.45 from his credit card provider last month. He is going to repay the debt in full from this month's salary so that no interest will be charged on this borrowing.



Maria (aged 48 and therefore in the middle age stage of life) has made arrangements with her bank to borrow up to £250 a month if she needs it.



Henry (aged 56 and therefore in the late middle age stage of life) has borrowed £400 from his credit union for car repairs. He will repay the debt over 12 months at £37.82 per month and pay £53.89 in interest and charges. Henry is eligible for this loan because he lives and works in the city where the credit union is based.



Tess (aged 67 and therefore in the old age stage of life) is borrowing money from her daughter to replace her fridge. She will repay the £329 loan from her pension over six months in five repayments of £60 and one repayment of £29. Her daughter has not asked for any interest.

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Borrowing money is also known as 'taking credit' or 'consumer credit'. This can cause some people confusion because 'credit' is also the term used for having funds in their current account such as credit balances and for money being paid into a current account such as direct credit payments.

Only people who are aged 18 years or older can borrow from a provider. This is because, under UK law, people need to be at least 18 years old to enter into a contract. In the case of borrowing products this contract is called a credit agreement and the terms and conditions of this agreement must be provided to the borrower in writing.

When choosing how to borrow money, people need to consider:

- what they can afford to repay;
- the costs and risks of different borrowing methods;
- how long they need to borrow for; and
- how they apply for and manage the debt.

When providers are deciding whether to make a product available to a potential borrower, they take into account the type of borrowing, the personal financial circumstances of the borrower and their history of repaying previous borrowing products.

People who take out credit cards or personal loans have a 14-day cooling off period when they can change their minds, cancel the agreement and return the card or the loan without any penalties. The cooling-off period starts from the date that the loan agreement was signed or the date that the customer received a copy of the agreement, whichever is later.

6.1 The cost of borrowing

The cost of borrowing is the interest rate and the fees that providers charge borrowers. Providers must quote the cost as an annual percentage rate (APR) for credit card borrowing and personal loans. The APR is a standard measure that includes the interest rate and certain charges to show the true cost of borrowing for most customers.

The regulations that implement the Consumer Credit Directive 2008 require providers to quote an APR in adverts for borrowing products; this allows people to compare the relative costs of different products on a 'like for like' basis. To fulfil the requirements of the regulations on advertising, providers must give a representative example, which is defined as the APR that they expect will be offered to at least 51% of the people who apply for the borrowing product as a result of seeing the advert. This means that up to 49% of applicants are likely to be offered a higher APR based on their personal circumstances (see **section 6.5** on credit history), how much they want to borrow and for how long.

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Comparing APRs enables borrowers to work out which product is the cheapest option.

APRs can be fixed for the full period of the borrowing product: personal loans, for example, are usually at fixed APRs. Other products, such as credit cards, have APRs that are variable – in other words, the provider may raise or lower the rate. Providers set their APRs in relation to the Bank rate (see **Topic 5**), the risk of the customer not repaying the loan and what other providers charge.

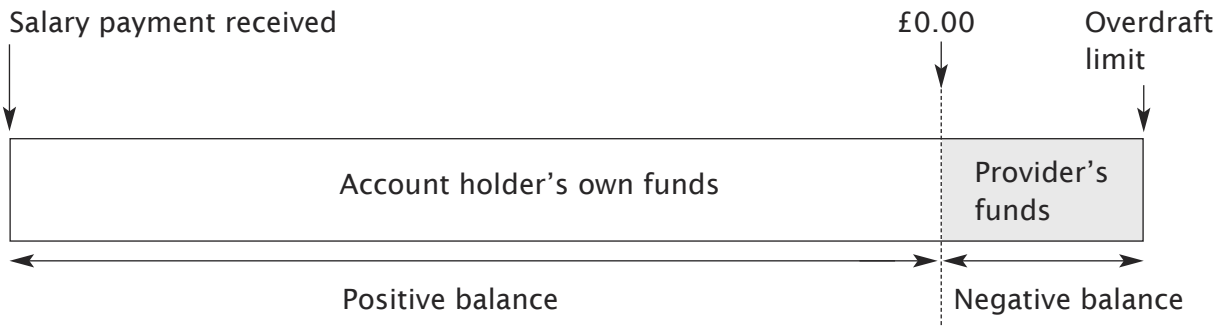
Overdraft costs were traditionally presented as an interest rate only (the equivalent annual rate [EAR]), but are now often presented as an APR.

6.2 Overdrafts

Overdrafts enable people to borrow from their current account provider by withdrawing more money from the account than they have paid in. Overdrafts only apply to current accounts.

Borrowing by overdraft is sometimes called 'going into the red' on the current account because, in the days of handwritten ledgers, bank clerks wrote negative balances in red ink. Having a positive balance is known as 'being in the black' because positive balances were written in black ink.

Figure 6.1 Borrowing using an overdraft



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Priya's overdraft



Priya is paid on the first Friday of the month. Her employer pays her £1,200 on 4 October by direct credit into her current account. During the month, Priya makes payments from these funds by standing order, direct debit, online transfer and cheque, and by withdrawing cash.

By 30 October Priya's balance is zero. She needs to buy fuel so she can travel to work and pays using her debit card, although she has no funds of her own left in her account. Because she has arranged an overdraft of up to £250 with her current account provider, Penway Bank, she can make this payment by borrowing from the bank. At this point the balance on her current account is -£30.

When her next month's salary is paid into her account, the first £30 is used to repay the overdraft automatically and the positive balance on Priya's account is £1,200 - £30 = £1,170. Figure 6.2 shows the entries on Priya's current account statement.

Figure 6.2 Extract from Priya's current account statement

Date	Details	Payments	Receipts	Balance
29 Oct	Direct debit paid to Magazines Ltd	5.00		0.00
30 Oct	Debit card payment to ABC Fuel Ltd	30.00		-30.00
01 Nov	Direct credit from Hanmer Retail PLC		1,200.00	1,170.00

Penway Bank sends an email to Priya on 14 November to tell her that they will charge her £0.03 for borrowing £30 for 2 days at 19.9% APR and that they will debit this fee from her account at the end of November.

6.2.1 Using an overdraft

Overdrafts are designed for current account holders to use for just a few days or weeks at a time. This borrowing enables the account holder to bridge the time difference between making a payment and receiving enough income to cover it. This situation may arise because of unexpected payments, because the account holder makes a mistake about how much money is in the account or because the account holder's monthly salary does not cover all that month's expenses.

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6.2.2 Overdraft costs

The costs of an authorised overdraft (also known as a planned or an arranged overdraft) can vary from zero to 40% APR up to the agreed limit. Overdraft borrowing that is not authorised used to be charged at a much higher rates, but since April 2020 this is not allowed. All APRs are variable – that is, they can vary over time. Providers usually alter APRs in line with changes in Bank rate.

The interest rate offered to account holders for agreed overdrafts varies 'subject to status' – in other words, depending on the personal circumstances and credit history of the borrower. For example, Ed's provider advertises an overdraft rate of 9.37% APR but when he telephones to arrange an overdraft limit of £250 he is quoted 15.9% APR. By comparison, Ed's father Morris is charged the advertised rate of 9.37% on his overdraft of up to £500. The personal financial circumstances of Ed and his father are very different, as Table 6.1 illustrates.

Table 6.1 Comparison of personal financial circumstances or 'status'

	Ed	**Morris**
Length of time he has held current account	9 months	25 years
Regular monthly deposit (salary)	£1,000	£2,800
Overdraft limit requested	£250	£500
Previous borrowing history	Unauthorised overdraft: £278 last month	No unauthorised overdrafts. Always repaid borrowing within one or two months.

The provider decides that Ed presents a greater risk of not repaying the overdraft and / or exceeding his overdraft limit and therefore charges him a higher APR than they charge his father. This decision is based on Ed's past behaviour, but also on the element of uncertainty. Because Ed has only held an account with the provider for a short period of time, it cannot be sure how he will manage the debt.

Overdraft interest costs are calculated on a daily basis. This is an advantage for account holders as they only pay interest on the amount they have borrowed that day and for the number of days that they are overdrawn.

From April 2020, the FCA banned banks and other providers from charging fixed fees for using an overdraft. Previously, customers who used an unauthorised

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overdraft were often charged high fees as well as a rate for going overdrawn. Providers may still charge the following fees:

- Unpaid transaction fee: providers can return transactions such as cheques, standing orders and direct debits to the payee's bank unpaid and charge a fee per item – for example, £8 per item up to a maximum of £40 per day.
- Paid transaction fee: providers must honour certain transactions, such as debit card payments, even though the account has insufficient funds to cover them. Again, an example would be a fee of £8 per item, up to a maximum of £40 per day. Under the FCA's rules, from April 2020 unpaid or paid transaction fees should correspond to the provider's costs for refusing payments.

Providers used to charge one-off daily or monthly fees for using an overdraft. From April 2020, such fees are banned. One of the FCA's concerns was the price of unauthorised overdrafts; its actions aimed to improve the position of vulnerable customers who are most likely to use these products (FCA, 2019).

Because unauthorised overdrafts were more expensive than authorised ones, account holders who made a mistake about their balance and had no planned overdraft incurred significant costs as Scott's experience (see case study) indicates.

Unauthorised overdrafts: then vs now

In January 2020, **Scott** uses his debit card to buy £25 of groceries from a supermarket. He does not realise that his current account has a balance of only £15. His bank, MayBank*, must pay the transaction because it has been made on a debit card and the supermarket is guaranteed to receive the funds. Scott's current account goes overdrawn by £10 and as he has not agreed an overdraft with MayBank he also incurs a one-off charge of £20.



Scott does not check his balance for another five days. Each day he is overdrawn, MayBank charges another £5 unauthorised overdraft fee. When Scott realises his mistake, he transfers money from his savings account to cover the £10 overdraft. At the end of the month the total charge for his unauthorised overdraft comes to £20 + (5 x £5) = £45 as well as the APR on the £10.

Scott's situation is different since April 2020. Under the FCA's rules, MayBank can no longer charge Scott daily fees for using an unauthorised overdraft.

*Fictitious provider

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There are a number of ways for current account holders to avoid the costs of an overdraft's high interest rate:

- They could sign up for an alert service from their bank that sends a text message when the account balance is below a set amount or a large transaction has been received for payment.
- They could check their account balance regularly – online, for example, or at an ATM, or by using a mobile banking app.
- They could choose a basic bank account as their current account; as we saw in **Topic 4**, basic bank accounts do not have an overdraft facility and so it is not possible to go overdrawn.

People who regularly borrow by overdraft may find it difficult to repay the debt. For example, Nancy has an agreed overdraft for £250. She borrows £50 by overdraft every month and only repays £20. After six months her overdraft has grown to £180 of unpaid debt from past months.

6.3 Credit cards

People use credit cards to make payments both in face-to-face transactions (for example, in shops and restaurants) and at a distance, such as over the telephone or online (paying for travel tickets, for instance). Instead of paying the transaction amount from their own funds (as would happen with a debit card), people use credit cards to borrow the transaction amount from their credit card provider.

6.3.1 Using credit cards

Credit cards are offered by a range of providers including banks, building societies and finance companies. They are accepted by most – but not all – sellers. Collectively these sellers are known as merchants and they display the brands of the credit cards that they accept at the point of sale. The main brands for credit cards are Visa and MasterCard.

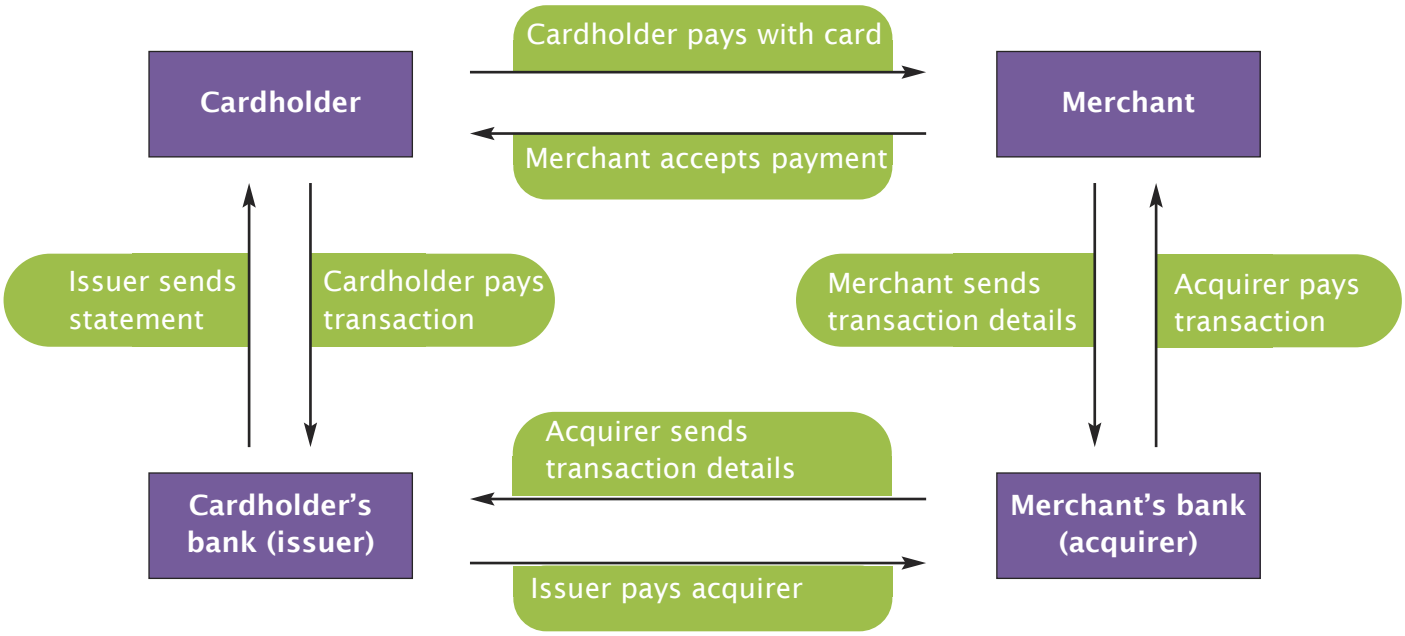
When people pay using a credit card four parties are involved:

- the cardholder;
- the merchant;
- the merchant's bank, which is called the acquirer; and
- the cardholder's bank, which is called the issuer.

When a cardholder makes a transaction on a credit card the merchant passes the transaction details to its bank (the acquirer) and the acquirer pays the merchant the value of the transaction. The acquirer then sends the transaction details to the cardholder's bank (the issuer) and the issuer pays the acquirer for the transaction. The issuer records the transaction on the cardholder's statement. When the cardholder pays the issuer for the transaction, the cycle is complete (see Figure 6.3).

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Figure 6.3 The movement of money in a credit card payment



Source: Author (2013)

Visa and MasterCard are two different payment organisations that run computer networks connecting acquirers and issuers, as well as developing the types of card and security measure that are used at the point of sale. One of the key security measures is the chip and PIN identification system used on payment cards, which was discussed in **Topic 3**. Another is the use of authorisation. This means that merchants must get the issuers' permission to accept transactions on a payment card above a certain value, known as the merchant's floor limit.

When cardholders use their credit cards to make transactions online or by telephone they are asked for the last three digits on the signature panel on the back of the card. These are called the card verification value (CVV). This is to identify the person as holding the genuine card. Providers must now use enhanced identification methods known as 'strong customer authentication'. For instance, they may send a one-time security code to the phone number associated with the card. The customer enters the code during the purchase, as well as the CVV.

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Case study: using a credit card



Cora has a credit card issued by Penway Bank*. She wants to buy clothes worth £150 in a shop called Fashion Buys and decides to use her credit card to pay. Penway Bank has given Cora a credit limit of £500 on the card so she can borrow up to this maximum amount. At present she has a zero balance on the card so there will be no problem borrowing £150.

The Fashion Buys shop assistant puts Cora's card into the card reader at the till, enters the transaction details and then asks Cora to enter her PIN to prove she is the cardholder. At this point the card reader sends an electronic message to the shop's bank requesting authorisation for the transaction as £150 is above Fashion Buys' floor limit. The shop's bank, Corp Bank Plc, is called the merchant's acquirer. This bank requests authorisation from Penway Bank to allow Cora to make the transaction. Penway replies with an authorisation code confirming that this transaction can go ahead. Corp Bank forwards this authorisation code to Fashion Buys and it is recorded with the transaction details. The shop assistant gives Cora her card and her transaction is complete.

Now Fashion Buys requires payment for the card transaction. It sends the transaction details to the acquirer, Corp Bank, and Corp Bank pays the shop the transaction value. Corp Bank then sends the transaction details to Penway Bank, which issued the card. Penway Bank pays Corp Bank the transaction value and records the transaction details on Cora's credit card account.

At the end of the month Penway Bank sends Cora a statement that lists all the transactions she made that month. The statement also tells her the minimum payment that she must make and the deadline by which the minimum payment is due. This due date is important because if Cora does not make the minimum payment by this date the issuer will charge a late payment fee. Cora can decide whether to pay only the minimum required, the whole balance, or an amount in between.

*Fictitious providers

Some people use credit cards as a way of delaying payment for a few weeks or spreading costs over a number of months. For example, Barry buys new trainers using his credit card in the first week of the month. He will not receive his credit card statement for three weeks and does not need to make any repayments until the payment due date, which is four weeks later. The credit card issuer does not charge interest for the period of time between making the card transaction and the payment due date. Depending on when the next statement is due, a cardholder can have an interest-free period of up to 56 days. When Ralf uses his credit card to buy a new computer there is six weeks until the payment due date. After this interest-free period Ralf makes his first repayment. He cannot afford to repay the cost of the computer in one month so he repays over three months.

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The Consumer Rights Act 2015 gives protection for goods or services valued between £100 and £30,000 which are paid for in full or in part (for example, just a deposit) on a credit card. For instance, if goods which have been ordered online do not arrive or prove faulty, cardholders can claim their money back from the credit card provider. This is particularly useful if the merchant has gone out of business or refuses to deal with the complaint. If there is a problem with goods worth less than £100 cardholders can still approach their card issuer for help, as it may be possible to charge the transaction back to the merchant and so get a refund (Citizens Advice, 2018).

6.3.2 Credit card costs

The costs of using a credit card are the APR on the amount borrowed plus any fees that apply. When someone applies for a credit card the issuer offers that individual a specific APR and credit limit based on their personal financial circumstances. The APR quoted in advertisements is representative, so 51% of applicants must be likely to receive it. The APR quoted is also based on applicants being offered a certain credit limit and on their past borrowing and repayment history (discussed in **section 6.5**) The APR is variable so it may change in line with Bank rate and the issuer's assessment of the risk that the cardholder may not repay. APRs are usually calculated on a daily basis on the account balance.

Credit cards may have different APRs for purchases, balance transfers and cash withdrawals, for example:

- purchases 17.9%
- balance transfers 17.9%
- cash withdrawals 27.9%

Most of the transactions made on credit cards are for purchases. Balance transfers are when cardholders move their debt from one credit card to another one and are discussed in more detail later in this topic. Cardholders can also withdraw cash (also known as taking a cash advance) using a credit card at an ATM or in a branch but this is very expensive. Not only is the APR usually much higher than for purchases, but the interest is charged from the day the withdrawal is made to the day the issuer receives repayment for the cash.

There are a variety of fees that can be charged on a credit card account including:

- annual subscription fees charged for holding the account, such as £12 or £24;
- late payment fees charged when the cardholder does not make any repayments by the payment due date shown on the statement;
- over-limit fees charged when the cardholder makes transactions that take the total amount borrowed over their credit limit; and
- cash advance fee charged when cash is withdrawn on the card.

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The cost of borrowing on a credit card also depends on the order in which the card issuer uses repayments to pay off transactions and fees. This is known as payment allocation. Some providers allocate payments to the most expensive debt first but others allocate payments in the order that the debts were incurred. This can make a big difference to the overall cost.

For example, Teri uses her credit card to withdraw £100 cash at an ATM five days before her credit card statement is sent to her. She is unable to pay her balance off in full and repays £200. Her issuer allocates her payment to her earliest transactions first. This means some of her purchases are repaid but not her cash advance. The issuer continues to charge interest on the £100 withdrawal at the high cash advance APR until Teri makes her next repayment. If Teri's issuer had allocated her £200 payment to her most expensive debt first, she would have repaid the cash advance and no more interest would be charged at the higher rate.

How long the APR is charged on transactions depends on how much cardholders choose to repay when they receive their credit card statement. Statements always give a minimum amount that must be paid by the due date. This is often between 3% and 5% of the total balance with a set minimum such as £5 or £25.

Cora's credit card

Cora has received her credit card statement from Penway Bank*.

Last month Cora repaid her credit card borrowing in full (£80) so she has been charged no interest or late payment fees.

This month she is not able to repay all £258.84 that she has borrowed. She could make the minimum payment of £7.77 which is 3% of the total balance. Her statement provides the estimated amount of interest and charges that she will pay on the borrowing if she only makes this minimum payment and it is £6.82. So next month Cora would owe £257.89 before making any more transactions. This is calculated as (£258.84 total balance – £7.77 minimum repayment) + £6.82 interest charged.

Cora uses a reputable online credit card repayment calculator to consider her options. If she continued to repay just the minimum 3% of her balance and made no further payments with her card, it would take 4 years and 11 months to repay the debt and cost her £116 in interest.

By comparison, repaying £25 per month would clear the debt in 11 months at a cost of £22 in interest; repaying £75 per month would clear it in 3 months at a cost of £7 in interest.

Cora decides to repay £75 this month and plans to repay at least this amount in the following month. Cora has therefore spread the cost of buying her clothes at Fashion Buys over several months by borrowing on her card.

*Fictitious provider

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Credit card statement



Your Account Summary as at 31 January 202X

Credit limit	£500.00
Available credit	£241.16
Balance from previous statement	£80.00
New transactions	£258.84
Payments & credits to your account	£80.00
Fees	£0.00
Interest	£0.00
New total balance	**£258.84**
Minimum payment due	£7.77
Payment due date	20 Feb 202X
Estimated interest amount	£6.82

Minimum payments

If you make only the minimum payment each month, it will take you longer and cost you more to clear your balance. If you are unable to make the minimum payment, please contact us as soon as possible.

Your transaction details

Date	Description	Location	Paid in £	Paid out £
	Balance from previous statement			80.00
10/01/2X	Payment received – thank you		80.00	
14/01/2X	Fashion Buys	Medtown		150.00
17/01/2X	SuperMart	Medtown		33.84
17/01/2X	High Street Petrol Station	Medtown		40.00
22/01/2X	Pizzeria Italia	Medtown		24.80
22/01/2X	Flicks Cinema	Medtown		10.20
Total Balance				**258.84**

Interest summary

Purchase Interest	17.9%
Balance Transfer	17.9%
Cash Interest	27.9%

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6.3.3 Different types of credit card

There is a wide variety of credit cards available on the market, designed to appeal to people in different circumstances. They include the following:

- **Low APR cards** – credit cards that offer a long-term low APR such as 7% are usually only available to people with a certain level of income and / or a good history of repaying borrowing on time. These cards are particularly attractive to people who want to borrow and spread the cost of repayment over several months, as the interest charged is so low compared with other credit cards. Some issuers charge an annual fee for holding a low APR credit card or require cardholders to make repayments online.

- **0% introductory APR and handling fee on balance transfers** – cardholders who have a large balance can transfer the amount they owe from one credit card to another one, usually with a different provider. The new card issuer pays the cardholder's debt with the old card issuer. The balance is transferred to the new card and there is 0% interest for a period of time (for example, 6, 12 or 18 months); the cardholder will therefore find it easier to repay the debt because it is not increasing.

  The new card issuer usually charges a handling fee to make the transfer. For example, Lottie is transferring £3,000 of debt from one credit card to another because it offers 0% APR on all balance transfers for 12 months. The new card issuer charges a 3% handling fee, which is £90; this amount is added to the £3,000 balance of the new card. Lottie's first repayment pays this fee. She repays £260 per month and clears her £3,000 debt within the 12-month 0% APR period. At this point her credit card's APR changes to the issuer's standard rate, which is 18.9% APR variable.

- **Cashback cards** – these cards give the cardholder back a percentage of all transactions made on the card as cash. The percentage varies from card to card and may be subject to certain rules, for example 2% on all purchases or 5% on purchases at certain merchants. The 'cash reward' is usually credited to the account once a year and is deducted from the total that the cardholder owes. Some cashback credit cards charge an annual fee such as £12 or £24, while some have no fee.

  These cards are particularly attractive for cardholders who repay their credit card borrowing in full every month as they do not pay any interest. If cardholders need to borrow for several months, the APR charged will be far greater than the cashback earned. For example, Doug has a 3% cashback credit card with an 18.7% APR, variable. He has set up a direct debit to repay his credit card bill in full every month so he is never charged interest or fees. By comparison his brother Neal rarely repays his credit card balance in full. If Neal had the same credit card as Doug he would pay 18.7% on borrowing and earn 3% cashback. Instead, Neal chooses a credit card with a low APR of 7.9% which works out less expensive for him.

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- **Reward cards** – some credit cards offer reward schemes such as points that cardholders can use to get discounts off their shopping or on gift vouchers. For example, Saira's credit card offers her 2 points for every £1 spent at supermarkets and 3 points for every £1 spent at selected shops, restaurants, entertainment venues and travel companies. These points can be exchanged for vouchers to spend on goods and services at these merchants. Hetty's credit card offers her reward vouchers to spend in her favourite shop. She earns 1 point for every £1 she spends on her credit card in the shop and 2 points for every £1 she spends on the card elsewhere: her provider offers higher points for purchases in other shops to encourage Hetty to use her card as often as possible and so borrow more money. 100 reward points equal a £1 voucher to spend in the shop. Jane's credit card offers her Avios which she can use to get discounts on air travel and other travel costs such as hotels, car hire and package holidays.



- **Charity donation cards** – people can use charity credit cards to donate to a particular charity. For example, Pippa has applied for a credit card that makes donations to a children's charity. The charity will receive £15 when she opens her credit card account and 25p for every £100 she spends on the card. Charity credit cards are a type of affinity credit card: a bank provides the card but it is also branded with another organisation's name and logo. Both parties benefit from this partnership. The charity's supporters are likely to apply for and use the card, so benefiting the bank, and the charity gets a donation when the card is used.

- **First credit cards** – people who have never had a credit card before are likely to be offered a higher APR and lower credit limit than people with a history of repaying debt on time. This is because the issuer does not know how new credit cardholders will manage their borrowing. For example, Kylie is offered 29.9% APR variable on her first credit card, although her credit card issuer has other products at a lower APR.

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- **Cards with low costs for foreign transactions** – when people use credit cards abroad some issuers charge a foreign transaction fee (also known as a foreign usage fee), such as 3% of the transaction value. For example, Sean spends two weeks on holiday in Spain. Each time he uses his credit card his issuer charges a 3% fee, so Sean's spending of £400 costs him an extra £12. A card that charges no foreign transaction fee would enable Sean to spend £12 more and stay within his holiday budget.

- **Gold, Platinum and Black credit cards** – these 'premium' credit cards are offered to people on higher incomes and have high credit limits (such as £15,000). They also offer a number of benefits, such as travel insurance and entry to exclusive airport lounges. Another benefit is a personal assistant service – the cardholder can ask for restaurant bookings or purchases such as gifts to be made on their behalf. Issuers usually charge a high annual fee, for example £120 for a Platinum card or £250 for a Black card.

  The APRs charged on credit cards tend to be higher than those charged on a loan – for example, 18.9% on a credit card compared with 5.1% on a loan from the same provider. This is because lending money through a credit card is more risky for a provider than lending money through a loan. Although issuers place credit limits on cards and they can control some spending through the authorisation process, it is possible for cardholders to spend more on their credit cards than they can repay.

6.3.4 Store cards

Some retailers offer credit cards that can only be used in their own stores. These cards are branded with the store name only and are not part of the Visa or MasterCard payment systems. The APRs on store cards tend to be higher than on other credit cards. Tina, for example, has a card with an APR of 29.9% from a retail group. The card is branded with the name of the store and the card programme is run by a bank.

A store card may provide free gifts and a range of special offers for cardholders. It may offer previews of sale goods or new ranges, and discounts on goods bought at the time of opening a store card account.

6.3.5 Charge cards

Charge cards are credit cards that must be repaid in full every month. As cardholders cannot borrow money beyond the interest-free period, charge cards do not charge interest and do not have an APR. Issuers charge fees, however, such as service fees, cash advance fees and charges, and annual fees. American Express offers a range of charge cards.

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6.4 Personal loans

People take out personal loans to be able to pay for expensive items now and spread the cost of repayment over years. Typical items that people buy with personal loans are cars, home improvements such as new kitchens, audiovisual equipment such as televisions, and large electrical goods such as ovens, freezers and washing machines.

Personal loans allow people to borrow a fixed amount of money over a fixed amount of time at a fixed APR. This means borrowers pay fixed repayments every month, making it easier for them to budget. The amount borrowed is known as the principal and tends to be between £1,000 and £10,000. The period of time over which the borrower will repay the loan is known as the term and tends to be between one and seven years. The APR is fixed for the term of the loan and is determined by the borrower's ability to repay. People who can afford to borrow larger amounts of money over shorter periods of time tend to pay lower APRs. Table 6.2 shows the loans held by different borrowers with one provider.

Table 6.2 Example loans

Borrower	Loan amount	Term in years	APR fixed	Monthly repayment	Total interest paid	Total amount paid
John	£3,000	3	12.6%	£100	£584	£3,584
Ari	£5,000	3	6.9%	£154	£533	£5,533
Simon	£7,500	3	5.0%	£225	£579	£8,079
Beth	£7,500	7	7.1%	£113	£1,972	£9,472

John is being charged 12.6% APR fixed on his loan of £3,000 but Ari is charged 6.9% APR fixed on her loan of £5,000 over the same term. Ari can afford higher monthly repayments than John as she has a higher income. This is one of the factors that the provider took into account when offering Ari and John APRs. The difference in APRs makes a lot of difference to the total amount each repays. John is paying less per month but will pay £584 interest in total. Ari will pay only £533 interest in total although she has borrowed more because she has a lower APR.

Simon and Beth have borrowed the same amount of money but Beth has spread her repayments over seven years compared with Simon's three-year term. The length of the loan makes a significant difference to the cost. Beth has monthly repayments that are almost half of Simon's but she will pay £1,972 in interest, more than three times as much as Simon who will pay £579. Beth chose to repay over seven years because she can afford the repayments easily. Simon decided to repay his loan more quickly because it is cheaper overall, although the £225 monthly repayments mean he must be careful with his spending.

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When people take out a loan the provider opens a separate loan account for them. Often, the provider pays the merchant direct for the goods – for example if a borrower uses a loan from a car manufacturer's finance company to pay for a new car. In other circumstances, the provider will deposit the funds in the borrower's current account and the borrower can make payments directly from this account. Providers tend to send borrowers statements showing the repayments made to date and the outstanding balance on the loan at least once a year.



Often, when people are planning a major project such as home improvements, they take out a personal loan to pay for it.

Compared with borrowing by overdraft or on a credit card, personal loans are more straightforward because the repayments are a set amount each month. However, loans are designed to be used for larger sums of money over a longer period of time. Overdrafts and credit cards offer borrowers greater flexibility. For example, Lee has just received a promotion at work and receives an extra £50 in salary. He can use this money to repay his overdraft and his credit cards earlier than he had planned. If he had taken out a personal loan and wanted to repay it early, he might have had to pay an early repayment penalty.

6.4.1 Payday loans

Payday loans are an interesting contrast to personal loans. Payday loans are a form of short-term, high-cost credit designed to help a person meet their commitments until their next payday. They provide same-day access to funds (sometimes within 30 minutes of applying), which is useful for people who feel they have no other way to get extra cash. Payday loans tend to be for relatively small amounts: hundreds, not thousands, of pounds. Used responsibly, they can help people who have run out of money before the end of the month, such as to meet emergency expenses.

However, payday loans have extremely high interest rates. The amount owed quickly adds up and many people used to get into serious debt because they could not repay the loan quickly. The FCA took action in 2014 that included introducing a total cost cap of 100 per cent, meaning that no customer ever has to repay more than twice the amount they borrowed. Before choosing a payday loan, people should think about whether they can truly afford it and when they will be able to repay it. They should also consider whether there are other viable options, such as using savings or selling unwanted items for cash.

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6.5 Credit history

When people apply to borrow money, providers check their credit history – that is, their record of borrowing and repaying money – with credit reference agencies such as Experian, Equifax and TransUnion. These agencies record the credit that people have applied for, the amounts they have borrowed over the last six years and how often they were late making payments. They also record defaults, county court judgments (CCJs) made against an individual for non-payment of debts, and bankruptcies.

Providers use this information to decide whether or not to lend money to someone who has applied for a borrowing product and on what terms – the APR, EAR, credit limit and repayment term. People with poor credit histories can often find a provider to lend them money but will usually have to pay more for the product.

6.6 Choosing products

When choosing borrowing products people should consider:

- how much they wish to borrow;
- what they can afford to repay;
- when they plan to repay;
- what the different borrowing options are;
- what the costs of the different options are; and
- what the other consequences of borrowing are.

Choosing borrowing products

Anya, Dom, Kim and Piotr are flatmates in their mid 20s. They all work for the same fashion retail company. Each of them is considering borrowing products.



Anya (aged 27)

Anya drives to work at an out-of-town store. Her car needs repairs and the garage has provided a quote of £476.18 to do the work. Anya does not have enough money in her current account to pay this bill so she wants to borrow the money. She can afford to repay £165 a month and wants to repay the amount over three months. Her options are to use her credit card or request an overdraft from her bank. The garage can carry out the repairs next week. If Anya paid on her credit card, she would have three weeks until her credit card statement arrived. She gets paid in two weeks' time. So Anya could repay £165 of the garage transaction immediately and borrow the remaining £311.18 over two months. At 22% APR the borrowing would cost her around £8.

Anya contacts her bank and discovers that cost of an arranged overdraft for the full £476.18 over three months is about £14 at 19.9% APR.

Anya realises that borrowing on her credit card will be cheaper because of the interest-free period between paying the garage and the 'payment due' date on her credit card statement. She tells the garage to go ahead with the repairs and pays them on her credit card.

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Dom (aged 27)

Dom wants to buy one of the latest mobile phones but keep his existing sim card. He has seen a deal on an internet site for £129.95 but does not have enough money in his current account to pay for it. He does not want to wait until his next pay is deposited in two weeks' time. When Dom is browsing the internet he finds adverts for payday loans. Visiting one of the websites, Dom finds out that borrowing £130 for 14 days would cost him £24.21. This sounds okay to him until Anya points out that the APR is over 4,000%, and if he borrowed the money on his credit card he could repay the amount in full on the due date next month and be charged no interest at all.



Kim (aged 26)

Kim borrows £100 every month on an authorised overdraft because she finds it difficult to manage on her salary. As she works in fashion she feels she should dress well and she enjoys socialising. Unfortunately, she does not earn as much as some of her friends and cannot afford to match their lifestyle. She intends to repay her overdraft during the following month but never does. After six months the amount has risen to £600 plus the APR, and Kim has exceeded her agreed overdraft limit of £550. Kim has other borrowing as well and owes over £2,000 on her credit card. She decides to take out a personal loan to clear her debts, as a loan has a lower cost. She plans to repay the loan in three years by making monthly repayments of £97 and then be debt free. Kim's plan will only work if she can stop going overdrawn and stops using her credit card until the loan is repaid. Kim is motivated by wanting to improve her credit history because she wants to borrow money to buy a flat in the future.



Piotr (aged 28)

Piotr is buying a car. He has just signed a personal loan agreement for £8,000 over three years at 5.0% APR fixed. The APR is low because the loan is only for people who are part of a store loyalty scheme and who have a good credit history. There are also financial penalties for repaying the loan early. This loan will cost him £617 in interest and charges and his monthly repayments are £239.37. Piotr can change his mind within the 14-day cooling off period from the date that the loan agreement is signed, or the date that he receives a copy of the agreement, whichever is later. Piotr is confident he can afford the loan so he does not cancel it.

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Key ideas in this topic

- Why people borrow.
- The cost of borrowing, including APR.
- Key features of overdrafts, credit cards and personal loans.
- The different borrowing needs that the different products are designed to meet.

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